

THE AMERICAN HOME LIFE INSURANCE CO.
Topeka, Kansas 66601

Annualized Commission Agreement

THIS ANNUALIZED COMMISSION AGREEMENT, made this _____ day of _____, _____,
by and between **THE AMERICAN HOME LIFE INSURANCE COMPANY** of Topeka, Kansas, Party of the First Part,
hereinafter called the Company, and _____, Party of the Second Part, hereinafter called "You" or "Your".

WITNESSETH:

That it is mutually agreed by and between the parties hereto that the agreement contained in your Company Contract, dated _____, _____, between the said parties is changed and modified in the particulars hereinafter set forth, but to that extent only.

1. First Year Commissions

a. First year commissions specified in the commission schedule of your Company Contract and the first year overwriting commissions on appointed Sub-producer's under your Company Contract may be annualized upon approval on the following terms:

Advance Period

6 Months

9 Months

Final Expense



b. Business issued and paid on your own life or on the life of any member of his immediate family **will not** be annualized as defined in Paragraph 1. a. above. Group billing or other payment modes of life business **will not** be annualized and the business will be settled and credited to the commission account with commissions payable on an as earned basis.

c. The Company may at its discretion reduce or eliminate entirely the amount of annualized commissions to be paid on any policy or policies.

2. Charged Interest on Advances

The current interest rate on this note shall be .5% per month on any unpaid balance of Producer's account of the maximum legal rate under applicable law, whichever is less. Notwithstanding anything to the contrary, Producer shall not be required to pay more interest for any period than the maximum legal rate permissible under applicable law.

3. Pay Period

You will be paid annualized commissions by the Company based on your Company Contract and determined in the fashion as stated above in Paragraph 1. Annualized commissions hereunder shall be payable in accordance with your commission payment schedule. Detailed commission statements are prepared the first of the month for the previous month.

4. Chargeback of Unearned Commission Advance

Unearned first year commissions and overwriting commissions paid that results in any refund, rescission, lapse or cancellation of a policy will be deducted from your next annualized commission earnings.

5. **Accounting**

The advances of annualized commissions will be charged to an advance commission account. Commissions, as earned, on this business will be credited to this same advance commission account. This is in reference to business handled in accordance with Paragraph 1.a. above.

6. **Remittance of Premium to the Company**

Under this annualized commission agreement, you shall remit the correct gross premium to the Company before any commissions will be annualized hereunder.

7. **Annualized Commission Advances**

It is clearly understood by parties whose signatures are affixed hereto that the annualized commissions paid and referred to in this Annualized Commission Agreement are advances to you and not a salary.

8. **Termination of this Annualized Commission Agreement**

- a. This Annualized Commission Agreement may be terminated at any time upon written notice by either part to the other. Such written notice, if given by the Company, shall be sufficient if forwarded to your last address as shown on the Company records.
- b. Should you fail to have issued and paid business in two consecutive calendar months, this Annualized Commission Agreement may be terminated unless extended, in writing, by the Company.
- c. Upon termination of the Annualized Commission Agreement, your debit balance is to be payable to the Company upon demand. The debit balance shall be the amount of advances made under this agreement less the actual earned commissions.

Prior to signing this Annualized Commission Agreement, we want to be sure you understand that annualization of commissions to you by the Company will create a debit balance that you are obligated to repay in full upon demand. While the Company has the right to retain vested deferred first year and renewal commissions as they are earned and apply them toward the elimination of your debit balance, in many instances these commissions are insufficient to effect a prompt repayment of the debt in full.

Retention of these future commissions by the Company does not release you from your obligation to effect a repayment in cash of the balance of your debt if it is requested. Of course, once any debit balance is repaid in full, vested future commissions will be paid to you as they are earned.

This Annualized Commission Agreement shall take effect on the ____ day of _____, ____.

The American Home Life Insurance Company

By: _____ Date: _____
General Agent Signature

By: _____ Date: _____
General Agent Upline Signature

By: _____ Date: _____
Vice President – General Counsel/Secretary
American Home Life Insurance Company